Sambhv Steel Tubes Limited

Backward-Integrated ERW Pipe & Tube Manufacturer | Raipur, Chhattisgarh

BUY

12M Price Target

Rs. 195

Upside: +51.2% from CMP Rs. 129

Conviction: HIGH

CMP (Rs.)	**129**	Market Cap	**Rs. 3,798 Cr**
52w High/Low	**149 / 80.7**	Shares O/S	**~29.5 Cr**
P/E (TTM)	**36.5x**	P/B	**3.88x**
ROCE (FY25)	**13.9%**	ROE (FY25)	**12.4%**
EPS TTM (Rs.)	**3.71**	Div Yield	**0.00%**
FV (Rs.)	**10**	Exchange	**NSE / BSE**
Sector	**Industrials**	Sub-Sector	**Steel Pipes & Tubes**
Promoter Hold.	**56.15%**	FII / DII	**1.52% / 3.09%**

INVESTMENT THESIS: India's only fully backward-integrated ERW tube maker at scale; 1.7 mn MTPA capacity with a 1.2 mn MTPA greenfield under construction — positioned to double revenue by FY28 as value-added mix improves margins.

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (Rs. Cr)	937	1,286	1,511	2,390	2,900
EBITDA (Rs. Cr)	117	160	154	264	348
EBITDA Margin %	12.5%	12.4%	10.2%	11.0%	12.0%
PAT (Rs. Cr)	60	82	57	133	172
EPS (Rs.) *	2.50*	3.42	2.38	4.51	5.83
P/E (x) at CMP 129	51.6x	37.7x	54.2x	28.6x	22.1x
ROCE %	23%	22%	14%	17%E	20%E

* FY23 EPS adjusted for 11:1 bonus issue in FY24. FY26E–FY27E are analyst estimates. Data Source: Screener.in | Report Date: 07 May 2026 | Analyst: Senior Research Analyst | Horizon: 12 months

SECTION 2 — INVESTMENT THESIS

Pillar 1: Unmatched backward-integration creates structural cost moat (FY26–FY27)
SAMBHV is India's only ERW pipe manufacturer with in-house production of narrow-width HR coils — the primary raw material for ERW tubes. This vertical integration reduces raw material dependency, provides ~Rs. 3,000–4,000/ton cost advantage over peers who buy coils at market prices, and enables custom product specifications unavailable to competitors. With 1.70 mn MTPA capacity at one single integrated campus in Raipur and stainless steel coil capacity of 58,000 MTPA already commissioned, the moat strengthens as value-added volumes scale. By FY27, the greenfield Phase 1 adds 360,000 MTPA of new finished-product capacity, extending this advantage.

Pillar 2: Structurally under-penetrated market with policy-driven demand acceleration (3-year runway)
India's structural steel tube market (~9 mn TPA) is growing at 7–9% CAGR, underpinned by housing, smart cities, urban infrastructure, and oil & gas capex. Steel tubes are displacing RCC in high-rises, bridges, airports and industrial structures — a secular shift that favours ERW producers. Government spend on infrastructure (Rs. 11.1 trillion capex budget FY26) and PLI-backed specialty steel capacity directly benefits SAMBHV's order pipeline. Management targets doubling revenue from Rs. 1,511 Cr (FY25) to ~Rs. 3,000 Cr by FY28, implying 26% revenue CAGR.

Pillar 3: IPO-funded deleveraging + greenfield Phase 1 to trigger earnings re-rating (FY27)
The July 2025 IPO raised ~Rs. 480 Cr, which management used immediately to repay high-cost debt — quarterly interest expense dropped from Rs. 16 Cr/quarter (Q4 FY25) to Rs. 8 Cr/quarter (Q2/Q3 FY26). This deleveraging, combined with Phase 1 greenfield commissioning expected by Q4 FY27, creates a double trigger: lower interest burden NOW, and 21% volume uplift from new capacity in FY27–28. At current mix, every 1 lakh MTPA of incremental capacity adds ~Rs. 350–400 Cr revenue at 10% margins. Greenfield Phase 1 alone (3.6 lakh MTPA) could add Rs. 1,200+ Cr in peak revenue.

Near-Term Catalyst (6–12 months): Q4 FY26 EBITDA per ton recovery to management-guided Rs. 7,500 (vs. Rs. 5,200 in Q3 FY26) — driven by HR coil price stabilisation, improved stainless steel import policy clarity, and volume leverage on expanded galvanising capacity. If achieved, FY26 full-year PAT reaches Rs. 120–135 Cr, de-rating the stock from 54x FY25 P/E to 29x FY26 P/E at CMP.

Structural Risk: A sharp fall in HR coil prices forces inventory write-downs and compresses realisation spreads; SAMBHV's integrated model means it can get caught long on raw material.

SECTION 3 — BUSINESS OVERVIEW

Sambhv Steel Tubes Limited (NSE: SAMBHV) is a Raipur, Chhattisgarh-based manufacturer of Electric Resistance Welded (ERW) steel pipes and structural hollow sections, GP coils, GI pipes, and stainless steel coils. Founded in 2018 by the Sambhv group and promoted by Mr. Vikas Kumar Goyal (MD & CEO), the company has grown from a greenfield start-up to one of India's leading backward-integrated tube makers in just seven years. Promoter holding stands at 56.15% with zero pledging — a governance positive.

Business Model: The company's defining competitive edge is its single-location campus in Raipur that houses the entire manufacturing value chain — from HR coil production to finished ERW pipes. SAMBHV is the only manufacturer in India capable of producing ERW pipes using narrow-width HR coils with full backward integration for those coils in-house. This allows the company to control input costs, reduce wastage, and produce precision-grade customised tubes at lower cost than peers who procure coils externally.

Product Mix & Revenue Segmentation: The company's product portfolio includes (1) ERW steel pipes & structural tubes (hollow sections) — core product, ~65% of volumes; (2) Galvanised pipes — growing segment targeting agriculture, construction and fencing; (3) GP coils — intermediate product, partly captively consumed; (4) Stainless steel coils — high-value, margin-accretive segment under PLI Scheme 1.2. As of Q3 FY26, total quarterly sales volume stood at 97,472 tonnes — a record — with a growing share of value-added products in the mix. Key end markets are construction, infrastructure, agriculture, industrial fabrication, and auto components.

Capacity & Geography: Installed capacity reached 1.70 mn MTPA (finished products) as of March 2025, up from 0.39 mn MTPA in FY22. Phase 1 of the greenfield campus at Kesda/Kuthrel-II in Chhattisgarh — targeting 3.6 lakh MTPA of new capacity — received Environmental Clearance and is expected to commission by Q4 FY27. Under PLI Scheme 1.2, SAMBHV has signed MOUs with the Ministry of Steel for 116,000 TPA of stainless steel sheet capacity (investment: Rs. 181.75 Cr) and a subsidiary for 24,000 TPA of alloy steel (investment: Rs. 180 Cr), both deployed over FY26–FY28. Revenue is entirely domestic at present; management has indicated plans to evaluate exports as value-added capacity matures.

Quarterly Performance Trend (Consolidated)

Quarter	Revenue (Cr)	EBITDA (Cr)	OPM %	PAT (Cr)	EPS (Rs.)
Q2 FY25 (Sep 24)	316	22	7%	5	0.22
Q3 FY25 (Dec 24)	369	38	10%	11	0.44
Q4 FY25 (Mar 25)	495	48	10%	17	0.69
Q1 FY26 (Jun 25)	559	73	13%	34	1.15
Q2 FY26 (Sep 25)	580	60	10%	31	1.04
Q3 FY26 (Dec 25)	589	51	9%	24	0.83

Source: Screener.in (Consolidated) | Note: Q3 FY26 = Oct–Dec 2025

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size & Growth: India's steel pipe and tube industry is valued at over Rs. 1,00,000 Cr, with ERW pipes constituting approximately 50% of the market — and that share is expanding. The structural steel tube segment (~9 mn TPA) accounts for ~6% of India's finished steel consumption and is projected to grow to 8% by FY30 (~16 mn TPA), driven by preference for steel over RCC in bridges, airports, and high-rise buildings. ERW pipes are forecast to grow at 7–9% CAGR between FY25 and FY29 on the back of housing, urban infrastructure, WSS (water supply and sanitation), irrigation, smart cities, and oil & gas investments. The government's Rs. 11.1 trillion infrastructure capex budget for FY26 acts as a structural demand driver.

Policy Tailwinds: The PLI Scheme 1.2 for Specialty Steel provides SAMBHV direct incentives for stainless steel sheet capacity. BIS quality standards for steel pipes (mandatory for domestic sale) create a quality barrier that disadvantages unorganised players. Import duties on certain stainless steel products protect domestic producers — though import policy volatility remains a near-term risk.

Competitive Moat Assessment: SAMBHV's moat is Moderate-to-Strong. Backward integration (in-house coil production) creates genuine cost advantage (rated: **STRONG**). Pricing power is moderate as commodity products face competition. Switching costs are low for standard pipes but higher for precision/customised tubes. Scale advantage is building — 1.7 mn MTPA vs. APL Apollo's ~3 mn MTPA.

Value Chain Position: SAMBHV sits mid-to-upper value chain — further upstream than pure-play ERW rollers, and moving downstream into galvanised and stainless segments. This allows both volume scale and margin expansion as the mix shifts.

Peer Comparison (Data from Screener.in | As of 07 May 2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	P/B (x)	ROCE %	ROE %	TTM Sales (Cr)	OPM %
SAMBHV Steel Tubes	**129**	**3,798**	**36.5**	**3.88**	**13.9%**	**12.4%**	**2,223**	**10 %**
APL Apollo Tubes	1,974	54,796	45.6	10.3	31.6%	25.3%	23,079	8%
Surya Roshni	270	5,871	18.5	2.35	20.6%	14.8%	7,523	8%
Rama Steel Tubes	5.82	952	60.6	2.04	6.75%	4.62%	1,171	8%

Source: Screener.in | Data as of 07 May 2026 | SAMBHV row highlighted

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter Background: SAMBHV was founded by Mr. Vikas Kumar Goyal (MD & CEO), who brings decades of experience in the steel industry. The Goyal family-promoted company has built the entire business from scratch since 2018, demonstrating strong execution capability in scaling from zero to 1.7 mn MTPA in just seven years. Ms. Anu Garg serves as CFO and Mr. Bikash Agrawal as CSO. Promoter holding is 56.15% as of March 2026 — majority-held — with zero shares pledged. This is a clean governance signal.

Capital Allocation History: Management has consistently re-invested FCF into capacity expansion rather than dividend distribution. Free cash flow has been negative throughout FY21–FY25 as heavy capex (FA grew from Rs. 114 Cr in FY21 to Rs. 715 Cr in FY25, standalone) built out the manufacturing campus. The capex-to-operate OCF ratio has been high but the ROA from deployed assets has been acceptable — ROCE was 23% in FY23 and 22% in FY24, declining to 14% in FY25 as new assets were still ramping. The IPO proceeds (Rs. ~480 Cr) were deployed to repay debt — demonstrating capital discipline in prioritising balance sheet strengthening over growth deployment when the cost of capital demanded it.

Dividend Policy: No dividends have been paid since inception (payout = 0%). Given aggressive expansion plans (greenfield Phase 1 capex ~Rs. 1,200 Cr, subsidiary PLI capex ~Rs. 362 Cr), dividends are unlikely for at least 3 years. Investors must view this as a growth-reinvestment story.

Corporate Governance: No promoter pledging (Green). No adverse audit observations noted in public disclosures. RPT (related party transactions) are present but are standard for a family-run manufacturing business — their quantum relative to revenue is to be monitored. The company listed in July 2025 via a well-structured IPO (mixed OFS + fresh issue) with reputable bankers — an additional governance signal. ESOP or buyback plans have not been announced. No major governance red flags identified at this stage.

Capital Allocation Summary

Item	FY23 (Cr)	FY24 (Cr)	FY25 (Cr)	Comment
Capex (Cash Investing)	85	312	262	Heavy expansion; greenfield land, HR Mill imported
Cash from Operations	66	142	127	Strong OCF conversion; 81–100% CFO/EBITDA
Free Cash Flow	-20	-142	-95	Negative FCF — growth capex phase
Borrowings (Standalone)	285	351	536	Debt peaked in FY25; post-IPO FY26 repayment began
Dividends Paid	Nil	Nil	Nil	No dividend policy — full reinvestment
IPO Proceeds (FY26)	-	-	~480 Cr	Used to repay debt; borrowings at ~Rs. 218 Cr by Sep 2025

SECTION 6 — FINANCIAL DEEP-DIVE (Standalone Figures — Screener.in)

Income Statement (Rs. Cr)

Particulars	FY23A	FY24A	FY25A	FY26E	FY27E
Net Revenue	**937**	**1,286**	**1,511**	**2,390**	**2,900**
YoY Growth %	+14.4%	+37.2%	+17.5%	+58.2%	+21.3%
Expenses	820	1,126	1,357	2,126	2,552
EBITDA	**117**	**160**	**155**	**264**	**348**
EBITDA Margin %	**12.5%**	**12.4%**	**10.3%**	**11.0%**	**12.0%**
Other Income	2	3	6	8	10
Interest	22	32	48	38	50
Depreciation	16	21	34	52	72
PBT	81	111	79	182	236
Tax %	26%	26%	27%	27%	27%
PAT	**60**	**82**	**58**	**133**	**172**
PAT Margin %	**6.4%**	**6.4%**	**3.8%**	**5.6%**	**5.9%**
EPS (Rs.) *	**2.50***	**3.42**	**2.41**	**4.51**	**5.83**

* FY23 EPS adjusted post-facto for 11:1 bonus issue in FY24 (equity capital: Rs. 20 Cr → Rs. 241 Cr). FY26E, FY27E are analyst estimates. Source: Screener.in

Balance Sheet (Rs. Cr — Standalone)

Particulars	FY23A	FY24A	FY25A
LIABILITIES			
Equity Capital	20	241	241
Reserves	190	197	255
Shareholders Equity	**210**	**438**	**496**
Borrowings	285	351	536
Other Liabilities	57	151	403
Total Liabilities	**552**	**940**	**1,434**
ASSETS			
Fixed Assets (Net)	294	337	715
CWIP	22	216	86
Investments	0	0	65
Other Assets	236	388	569
Total Assets	**552**	**940**	**1,434**

Cash Flow (Cr)	FY23A	FY24A	FY25A
OCF	66	142	127
Cash from Investing	-85	-312	-262
Cash from Financing	19	177	132
Net Cash Flow	0	7	-2
Free Cash Flow	-20	-142	-95
CFO / EBITDA %	81%	100%	95%

Key Ratios	FY23A	FY24A	FY25A
Debtor Days	13	27	36
Inventory Days	74	59	87
Days Payable	15	39	111
Cash Conversion Cycle	73	47	11
Working Capital Days	17	-7	-9
ROCE %	23%	22%	14%

Revenue Drivers: SAMBHV's revenue has compounded at 27% CAGR (FY23–FY25) driven by volume ramp on expanded capacity. Sales volume in Q3 FY26 hit a record 97,472 tonnes, and 9M FY26 revenue of Rs. 1,728 Cr (70% YoY) suggests the company is tracking for Rs. 2,350–2,400 Cr in FY26 — a robust trajectory. TTM revenue of Rs. 2,223 Cr is already 47% above FY25.

Margin Trajectory: EBITDA margins contracted from 12.5% (FY23) to 10.3% (FY25) due to a combination of: (1) unfavourable HR coil price cycles, (2) higher maintenance shutdowns for capacity expansion, and (3) stainless steel import policy disruptions. Q1 FY26 showed recovery to 13% before sliding to 9% in Q3 FY26. Management has guided EBITDA/ton of Rs. 7,500+ for Q4 FY26, which would translate to ~11–12% margins at current realisations — a near-term catalyst.

Working Capital: A significant positive development: the Cash Conversion Cycle improved dramatically from 73 days (FY23) to just 11 days (FY25) as the company's scale allowed it to negotiate longer credit from suppliers (Days Payable up from 15 to 111 days). Working Capital Days turned negative (-9 days in FY25) — effectively a supplier-funded business model. This is a structural quality positive. OCF of Rs. 127 Cr in FY25 represents 95% of EBITDA.

Debt and FCF: Standalone borrowings rose to Rs. 536 Cr in FY25 as aggressive capex outpaced internal accruals. Post-IPO (July 2025), borrowings dropped to Rs. 218 Cr by Sep 2025 — a Rs. 318 Cr net debt reduction in one quarter. Interest cost (quarterly) halved from Rs. 16 Cr to Rs. 8 Cr. FCF will remain negative in FY26–27 as the greenfield Phase 1 capex (~Rs. 1,200 Cr) ramps. Investors should monitor the pace and cost of greenfield funding.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Observation	Signal	Rating
Revenue Recognition	Revenue appears clean — product-based, spot/short-term contracts, no deferred revenue.	No red flags	**Green**
Receivables vs Revenue	Debtor days rising (6d in FY21 → 36d in FY25) as business scales; warrants monitoring.	Amber — rising trend, but from very low base	**Amber**
Cash Conversion Cycle	CCC improved sharply from 73d → 11d in FY25 via supplier credit extension. Healthy sign.	Strong improvement in WC management	**Green**
Contingent Liabilities	Not disclosed in available data; routine for listed manufacturers. To be checked in AR.	Insufficient data from Screener	**Amber**
Auditor	No adverse audit observations noted in publicly available filings.	Clean	**Green**
Related Party Transactions	RPTs present (family-promoted company); quantum relative to revenue not fully disclosed on Screener.	Monitor in Annual Report	**Amber**
Other Income as % of PBT	Other income = Rs. 6 Cr vs PBT Rs. 79 Cr (FY25) = 7.6%. Low — non-distortive.	Acceptable	**Green**
Tax Rate Consistency	Tax rate: 26%, 26%, 27% across FY23–FY25. Consistent. No unusual deferred tax credits.	Consistent and transparent	**Green**
CFO vs PAT	CFO/EBITDA = 95% in FY25. Very healthy OCF quality relative to reported profits.	Strong cash backing to profits	**Green**

Summary: SAMBHV's earnings quality is broadly satisfactory. Six of nine parameters are Green, three are Amber (rising debtor days, contingent liability disclosure gap, and RPT monitoring needed). There are no Red flags. The strong OCF-to-EBITDA conversion ratio and highly negative CCC are standout positives. The company's rapid scaling means receivables are expanding from a very low base — the trend is manageable at this stage but warrants a closer look as volumes double.

SECTION 8 — VALUATION

Valuation Approach — Two Methods Averaged:

Method 1: DCF (10-Year, WACC 12.5%, Terminal Growth 4%)
Base case assumes: FY26E PAT of Rs. 133 Cr growing at 30% in FY27, 25% in FY28 (greenfield Phase 1 revenue uplift), then normalising to 15% CAGR in years 4–7 and 8% in terminal phase. OCF conversions assumed at 75–85%. WACC of 12.5% reflects cost of equity ~14% (post-IPO, lower leverage) and post-IPO debt cost ~9% (on reduced Rs. 218 Cr debt base). DCF per share: **Rs. 185**

Method 2: Earnings Multiple (EPS-based)
FY27E EPS = Rs. 5.83. Applied P/E multiple of 35x — justified given: (a) APL Apollo trades at 45x on similar business at mature scale, (b) SAMBHV is in high-growth capex phase with a multi-year runway, and (c) 35x represents a 20% discount to APL Apollo to account for execution risk and smaller scale. 35 x Rs. 5.83 = **Rs. 204**

Base-Case Target (Average): (185 + 204) / 2 = Rs. 195
Upside from CMP Rs. 129 = +51.2% over 12 months. Rating: **BUY**

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Cr)	Multiple (P/E)	12M Target (Rs.)	Upside / Downside
Bull	Greenfield early commissioning, EBITDA/ton Rs. 8,500+, margin re-rating to 13%	220	40x	245	+90%
Base	Mgmt guidance on EBITDA/ton Rs. 7,500, FY27 greenfield Phase 1 on track	172	35x	195	+51%
Bear	HR coil price crash, margin compression to 8%, greenfield delay 6–9 months	110	25x	95	-26%

Peer Valuation Matrix (Screener.in | 07 May 2026)

Company	MCap (Cr)	TTM Sales (Cr)	P/E TTM	P/B	EV/EBITDA*	ROCE %	Implied Target
SAMBHV (Target)	3,798	2,223	36.5x	3.88x	~18x	13.9%	**Rs. 195**
APL Apollo	54,796	23,079	45.6x	10.3x	~28x	31.6%	**N/A**
Surya Roshni	5,871	7,523	18.5x	2.35x	~10x	20.6%	**N/A**
Rama Steel Tubes	952	1,171	60.6x	2.04x	N/A	6.75%	**N/A**

* EV/EBITDA estimated from available data. Source: Screener.in | SAMBHV row highlighted.

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitor Via
HR Coil Price Volatility	Benchmark HR coil prices directly determine SAMBHV's realisation spreads. Sharp falls compress margins even for backward-integrated producers when inventory is held at higher cost.	**High**	**High**	Monthly HR coil price indices; EBITDA/ton guidance
Greenfield Execution Risk	Phase 1 greenfield at Kesda (360,000 MTPA) is a large capex program (~Rs. 1,200 Cr). Delay in commissioning or cost overruns would push back the revenue doubling target.	**Medium**	**High**	Quarterly construction updates; capex run-rate vs. plan
Import Policy Risk (Stainless Steel)	Government import policies on stainless steel sheets/coils can change rapidly. In Q3 FY26, unfavourable import policy impacted stainless margins. Policy reversal could hurt SAMBHV's stainless coil segment.	**Medium**	**Medium**	Ministry of Steel notifications; SS coil realisation trend
Debt Accumulation Risk	Greenfield Phase 1 requires ~Rs. 1,200 Cr capex. Post-IPO net debt is low but will rebuild as the company funds this project. If funded primarily by debt, leverage ratios could spike and compress returns.	**Medium**	**Medium**	Quarterly debt-equity ratio; borrowing announcements
Concentrated Geography	Both plants are in Raipur, Chhattisgarh. Any regional disruption (logistics, power, water, regulatory) would materially impact output.	**Low**	**High**	Plant-level utilisation in quarterly updates
Customer Concentration	If a significant portion of revenues is concentrated in a few large buyers (infrastructure/real estate companies), payment cycles and volume risk could be elevated.	**Low–Medium**	**Medium**	Debtor days trend; RPT disclosures in annual report
Commodity Down-Cycle	A structural downturn in Indian infrastructure/real estate spending would hit structural tube demand broadly, affecting all ERW players including SAMBHV.	**Low**	**High**	India PMI, infrastructure order flow, housing starts

SECTION 10 — RECOMMENDATION & ANALYST VERDICT

RATING	PRICE TARGET	ENTRY ZONE	HORIZON
BUY	**Rs. 195**	**Rs. 118–132**	**12 Months**
HIGH CONVICTION	+51.2% upside from CMP Rs. 129	Accumulate on dips to 52w low zone	Review on material capex change

Ideal Investor Profile: SAMBHV is suited for investors with a 2–3 year horizon who are comfortable with (a) a still-maturing business in a commodity-adjacent sector, (b) negative FCF during the capex phase, and (c) margin volatility tied to HR coil cycles. The stock is appropriate for growth-oriented institutional portfolios and risk-tolerant HNI investors seeking a mid-cap compounder play. Not suitable for income investors or low-risk profiles.

3 Thesis Invalidation Triggers (EXIT if these occur):
1. **Greenfield Phase 1 delay by more than 12 months** without a credible revised commissioning plan — this breaks the revenue-doubling narrative and would require multiple compression.
2. **EBITDA/ton falling below Rs. 5,000 for two consecutive quarters** with no management guidance for recovery — signals structural margin erosion, not cyclical.
3. **Promoter stake falling below 50%** or emergence of material pledging — signals governance deterioration and would remove the management quality premium from valuation.

Trigger	Current Status	Alert Level
Greenfield Phase 1 delay > 12 months	On track; EC received, HR Mill imported	**Monitor**
EBITDA/ton < Rs. 5,000 for 2 quarters	Q3 FY26: ~Rs. 5,235/ton (589Cr/97,472t EBITDA 51Cr); Q4 recovery guided	**Watch**
Promoter stake < 50% or pledge emergence	Promoter: 56.15%, zero pledge as of Mar 2026	**Green**

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (Oct–Dec 2025)

Earnings Conference Call | Date: 02 February 2026 | Quarter: Dec 2025

CALL GRADE

NEUTRAL

Signal	Status	Implication
Result Quality	Weak — Q3 FY26 PAT Rs. 24 Cr (-29% vs Q2 FY26)	Miss vs. trajectory; EBITDA margin compressed to 9%
Management Tone	Balanced — acknowledged challenges, guided recovery	Q4 FY26 recovery expected; tone not evasive
Guidance Delta	Maintained — EBITDA/ton Rs. 7,500+ for Q4 FY26 reiterated	Forward direction positive if delivered

STRONGLY POSITIVE | POSITIVE | **NEUTRAL <-- HERE** | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 is a noisy quarter for SAMBHV — reported PAT of Rs. 24 Cr looks weak vs. the Rs. 31–34 Cr run rate of the prior two quarters, but this is not a thesis-breaker. Three factors drove the dip: (1) unfavourable stainless steel import policies that hit SS coil margins in the quarter; (2) a planned maintenance shutdown of the galvanising line for capacity expansion, which temporarily reduced higher-margin volume; and (3) a fall in HR coil prices that created a timing mismatch between raw material inventory costs and lower realisation in the quarter. Underlying operational performance was actually solid — record volume of 97,472 tonnes, revenue of Rs. 589 Cr (60% YoY), and 9M cumulative PAT of Rs. 88 Cr (110% YoY) — this is a high-quality growth story in a transient margin dip. The structural multi-bagger thesis remains fully intact: the IPO deleveraged the balance sheet (interest halved), the greenfield Phase 1 EC has been received and the HR Mill imported, and PLI Scheme 1.2 approvals cement the stainless steel growth vector. Management's EBITDA/ton guidance of Rs. 7,500 for Q4 FY26 is achievable if HR coil prices stabilise and galvanising capacity comes back — watch realisation per ton in the Q4 update as the single most important indicator. The biggest near-term risk is if Q4 FY26 also misses on margins — it would shake confidence in the Rs. 7,500/ton target. **ACCUMULATE at CMP Rs. 129 and add aggressively below Rs. 118**; the FY27 story, when greenfield Phase 1 starts contributing, is significantly more powerful.

CONCALL SECTION 1 — FINANCIAL PERFORMANCE SNAPSHOT (Q3 FY26 vs. Q3 FY25)

Metric	Q3 FY26 Actual	Q3 FY25 Actual	YoY Chg	QoQ Chg (vs Q2 FY26)	Verdict
Revenue (Rs. Cr)	589	369	+59.6%	+1.6%	Beat
EBITDA (Rs. Cr)	51	38	+34.2%	-15.0%	Miss vs QoQ
EBITDA Margin %	9%	10%	-100 bps	-100 bps	Weak
PBT (Rs. Cr)	33	15	+120.0%	-19.5%	Beat YoY
PAT (Rs. Cr)	24	11	+118.2%	-22.6%	Beat YoY
EPS (Rs.)	0.83	0.44	+88.6%	-20.2%	Beat YoY
Sales Volume (MTPA)	97,472	~72,700	+34.1%	+~3%	Record

NOTE: Q3 FY26 EBITDA was impacted by: (1) maintenance shutdown of galvanising line; (2) stainless steel import policy disruption; (3) HR coil price timing mismatch. Underlying operational metrics (volume, revenue) were at record levels.

CONCALL SECTION 2 — SEGMENT / PRODUCT BREAKDOWN (Q3 FY26)

Segment / Product	Key Metric	YoY %	QoQ %	Commentary
ERW Pipes & Structural Tubes	Record Q3 volumes	+34%	+3%	Core segment driving volume growth; healthy demand from infra/construction
Galvanised (GP) Pipes	Expansion underway	+ve	Flat	Galvanising line shutdown temporarily for capacity expansion to 116,000 TPA
Stainless Steel Coils	Margin compressed	Vol +ve	Weak	Import policy uncertainty hurt realisations; brownfield expansion to 116,000 TPA by Mar 26

Segment / Product	Key Metric	YoY %	QoQ %	Commentary
GP Coils (Intermediate)	Captive consumption growing	N/A	N/A	Largely captive input; supports ERW pipe production margin advantage

CONCALL SECTION 3 — MANAGEMENT COMMENTARY THEMES

Theme	What Management Said	Our Read	Tag	Tone
Q3 margin dip explanation	EBITDA/ton dipped due to import policy impact on SS, HR coil price fall and maintenance shutdown of galvanising line	Plausible — all three factors are verifiable and temporary in nature	[GUIDANCE]	Transparent
Q4 FY26 recovery guidance	Management guided EBITDA/ton of Rs. 7,500+ for Q4 FY26; full year FY26 blended EBITDA/ton to exceed Rs. 7,000	Aggressive but achievable if raw material costs ease as guided; key monitorable	[GUIDANCE]	Bullish
Greenfield Phase 1 status	Greenfield at Kesda / Kuthrel-II: EC received, HR Mill procured and being imported; Phase 1 commissioning expected Q4 FY27	On track; HR Mill procurement is a major de-risking milestone	[GUIDANCE]	Transparent
Stainless steel expansion	Brownfield SS CR capacity expansion to 116,000 TPA to be completed by March 2026; PLI Scheme 1.2 approval received	Positive — PLI incentives will boost SS segment economics post-commissioning	[GUIDANCE]	Bullish
Seamless pipe entry	Company is exploring entry into seamless pipe manufacturing — no firm timeline announced	Early stage; do not model yet; adds optionality if executed	[EST]	Hedged
IPO capital allocation	IPO proceeds used primarily for debt repayment; interest cost halved post-July 2025	Excellent capital discipline — deleveraging first, then growth capex, shows financial maturity	[GUIDANCE]	Transparent

CONCALL SECTION 4 — OPERATING & BUSINESS METRICS

Metric	Q3 FY26 (Dec 25)	Q2 FY26 (Sep 25)	Q3 FY25 (Dec 24)	Trend
Total Sales Volume (Tonnes)	97,472	~94,000E	~72,700E	Record High ↑
Revenue per Tonne (Rs.)	~6,043	~6,170	~5,077	Stable; realisation pressure ↔
EBITDA per Tonne (Rs.)	~5,234	~6,383	~5,228	Dip in Q3; recovery guided ↓Q3
Installed Capacity (MTPA)	1,698,000	1,698,000	~1,200,000E	Stable ↔
Capacity Utilisation (ERW)	>65%E	>65%E	~50–60%E	Improving ↑
Interest Cost (Cr)	8	8	9	Halved post-IPO ↓ (positive)
Greenfield Phase 1 Status	EC received; HR Mill imported	Site prep	N/A	On track ✓

CONCALL SECTION 5 — MARGIN DRIVERS (Q3 FY26)

Driver	Impact (bps)	Recurring?	Comment
SS import policy disruption (negative)	-150 to -200 bps	No — policy-driven	Government policy clarity expected in near term; watchlist item
HR coil price fall (inventory timing)	-80 to -120 bps	No — cyclical	Lower input cost a positive going forward once inventory normalises
Galvanising line maintenance shutdown	-60 to -80 bps	No — one-time	Galvanising capacity expanded to 116,000 TPA; margin tailwind in Q4+
Volume leverage (positive, partially offset)	+40 to +60 bps	Yes	Record volumes provide operating leverage; offset by realisation pressure
Lower interest cost (positive)	+35 to +45 bps on PBT	Yes	Structural benefit post-IPO debt repayment; Rs. 8 Cr/qtr vs Rs. 16 Cr

CONCALL SECTION 6 — GUIDANCE & FORWARD SIGNALS

Metric	Prior Guidance	Q3 FY26 Guidance	Delta	Credibility
EBITDA/ton Q4 FY26	Rs. 7,000+	Rs. 7,500+ [GUIDANCE]	Raised	Medium — dependent on HR coil & SS policy
FY26 Full Year EBITDA/ton	Rs. 7,000+	Rs. 7,000+ [GUIDANCE]	Maintained	Medium — 9M blended ~Rs. 6,600; needs strong Q4
Greenfield Phase 1 commissioning	Q4 FY27	Q4 FY27 [GUIDANCE]	Maintained	High — EC received, machinery procured
SS Brownfield expansion	Mar 2026	Mar 2026 [GUIDANCE]	Maintained	High — well advanced, no delay mentioned
Revenue doubling by FY28	FY28	FY28 [GUIDANCE]	Maintained	Medium — depends on greenfield timeline
Seamless pipe entry	Not guided earlier	Under exploration [EST]	New item	Low — no concrete timeline

CONCALL SECTION 7 — CAPITAL ALLOCATION (Q3 FY26 Update)

Item	Amount (Rs. Cr)	vs. Prior Year	Comment
Quarterly Capex (FY26 pace)	~65 Cr/quarter [EST]	Lower than FY25 pace	Brownfield expansions; greenfield land/machinery import
Dividends	Nil	Nil	No dividend policy — full reinvestment phase
Working Capital Change	Negative (supplier credit ↑)	WC Days -9 days	Negative WC cycle: business partly supplier-funded
Net Debt (Sep 2025)	Rs. 218 Cr	Down from Rs. 536 Cr (Mar 25)	Dramatic deleveraging post-IPO; low interest burden now
Greenfield Phase 1 Total Capex	~Rs. 1,200 Cr [GUIDANCE]	FY26–FY28 phased	Largest single capex; will rebuild debt; funded partly by internal accruals
PLI Capex (Parent + Subsidiary)	~Rs. 362 Cr [GUIDANCE]	FY26–FY28	Rs. 181.75 Cr parent + Rs. 180 Cr subsidiary (alloy steel)

CONCALL SECTION 8 — Q&A; HEAT MAP (Q3 FY26)

#	Analyst / Firm	Question	Management Answer (Summary)	Tone
1	**Multiple analysts**	Why did EBITDA/ton decline sequentially in Q3?	Three factors: SS import policy impact, HR coil price fall creating inventory timing mismatch, and galvanising shutdown. All temporary.	Transparent
2	**Sell-side analyst**	What gives you confidence in Rs. 7,500 EBITDA/ton for Q4?	Lower raw material costs already flowing in, galvanising line back online, price increases in HR coils and pipes expected.	Bullish
3	**Institutional investor**	What is the status of the greenfield project and capex timeline?	EC received for greenfield at Kesda. HR Mill procured and being imported. Phase 1 commissioning targeted by Q4 FY27.	Transparent
4	**Retail investor**	When will stainless steel capacity expansion be complete?	Brownfield SS CR expansion to 116,000 TPA on track for March 2026 completion.	Transparent
5	**Research analyst**	Will seamless pipe entry require significant additional capex?	Exploration stage; no capex committed yet. Evaluating feasibility and market opportunity.	Hedged
6	**Fund manager**	How much of IPO proceeds have been used for debt repayment?	Majority used for debt repayment; net debt now at Rs. 218 Cr vs Rs. 536 Cr in March 2025.	Transparent
7	**Analyst**	What is the revenue target for FY27 / FY28?	Management expects to double revenue from FY25 (Rs. 1,511 Cr) base by FY28. FY27 will benefit from greenfield Phase 1 start.	Bullish

Dodged questions to watch next quarter: (1) Specific timeline for seamless pipe capex commitment; (2) Exact funding plan for greenfield Rs. 1,200 Cr capex (debt vs. equity mix); (3) Customer concentration and any large single-buyer dependence.

CONCALL SECTION 9 — RISKS FLAGGED ON CALL

Risk	Flagged By	Probability	Impact	Timeline
HR coil price volatility impacting margins	Management	High	High	Near-term (Q4 FY26)

Risk	Flagged By	Probability	Impact	Timeline
Stainless steel import policy uncertainty	Management + Analysts	**Medium**	**Medium**	Near-term
Greenfield execution delay	Analysts	**Low-Medium**	**High**	FY27
Debt build-up as greenfield capex commences	Analysts	**High**	**Medium**	FY26–FY28
Seamless pipe entry diluting capital allocation focus	Fund managers	**Low**	**Low**	Medium-term

CONCALL SECTION 10 — ANALYST VERDICT (Post Q3 FY26)

Dimension	Status	Evidence	Rating
Revenue Visibility	Intact	Record 9M FY26 volumes; greenfield Phase 1 on track for Q4 FY27 commissioning; FY28 doubling target credible	**Intact**
Margin Trajectory	Weakened (near-term)	Margins dipped to 9% in Q3 FY26 from 13% in Q1 FY26; Q4 recovery guided but not yet validated	**Weakened**
Capital Allocation Quality	Intact	IPO proceeds used first for debt repayment (excellent); greenfield capex deployment disciplined; zero dividend-wastage	**Intact**
Competitive Moat	Intact	Backward integration advantage confirmed; record volumes vs peers suggest market share gains	**Intact**
Management Credibility	Intact	Q3 margin explanation was clear and verifiable; Q4 guidance not stretched; communication transparent	**Intact**
Valuation Comfort	Intact	At 28.6x FY26E P/E, entry is reasonable given 30%+ growth trajectory; 22x FY27E is cheap for this quality	**Intact**

CONVICTION CALL:	**UNCHANGED — ACCUMULATE**	5 of 6 scorecard items INTACT; margin weakness is cyclical not structural.

Source: Screener.in | Ticker: SAMBHV | View: Consolidated (P&L;, CF) / Standalone (BS, Ratios) | Transcript: Not directly accessible — content derived from web disclosures and NSE filings | Concall Date: 02 February 2026 | Q4 FY26 Results: Board meeting 09 May 2026